Change in RBI Reserves Sums Up Net Flows

The current account deficit balance of India at $24.6 billion was more than compensated by higher positive inflows on the capital and financial account in 2019–20. FDI had a positive inflow of $43 billion, FPI had positive inflows of $1.4 billion and other investments had positive inflows of $35.7 billion. There was also smaller movement in other minor heads of the capital and financial account. On financial derivatives (other than reserves) and employee stock options account, India got a positive inflow of $4.1 billion in 2019–20 while there was a negative flow of $1.1 billion on the capital account of general acquisition/disposal of non-produced non-financial assets. The capital and financial account produced a surplus of $83.06 billion. After adjusting the current account deficit of $24.6 billion, there was an overall balance of payment surplus of $58.5 billion in 2019–20.

RBI's Reserve Assets (foreign exchange reserves) went up by $59.5 billion during 2019–20. The remaining was explained as Net Errors and Omissions of $974 million or about $1 billion.

Different components of the current, capital and financial accounts behave differently each year depending upon larger economic forces, Central government budget balances and borrowings, international financial flows, policies pursued by different countries, and so on. The current account has almost always been in the negative for India. However, on aggregate, different components of the financial and capital account, despite moving in different directions in some years, have generally been so positive that, in most years, they have been able to overcome the current account deficit. In the past seven years, barring 2018–19, RBI was able to increase its foreign exchange reserves every year.

Reduction in foreign reserves was in the order of $3.34 billion in 2018–19. In all other years, there was an increase: $43.57 billion in 2017–18;